Chapter 5
Financial Statement Analysis

Narahari Hansoge

Mesa
SCHOOL OF BUSINESS

FINANCIAL STATEMENT ANALYSIS

- FSA is a tool; utility depends on how it is used
- It's a beginning; not an end
- As in life, common sense is your best companion
- Have your thinking cap on always!
- FSA is largely ratio analysis
- Any 2 numbers can be a ratio!
- Objectives of FSA
  - Evaluating Past Performance
  - Predicting Future Performance

Mesa SCHOOL OF BUSINESS

FSA CAVEATS

- Should always do comparative analysis and not absolute analysis
- Comparison can be over time for the same company or over peers for the same time period (should do both but separately)
- How are peers defined?
  - Sector, Industry, Product lines, Customers, Geographies
  - How to handle multi-segment firms? (ITC)
- Should use the right “benchmark” for comparison

Mesa SCHOOL OF BUSINESS

FSA CAVEATS

- Adjust ratios for one-time incomes and expenses
  - “Normalised” EBITDA/PAT
- Use averages for BS items (Assets, Liabs, Equity)
  - Vital when ratio has BS and SPL items (RoE)
  - Not so vital when ratio has only BS items (Current ratio)

Mesa SCHOOL OF BUSINESS

FSA TECHNIQUES

- Vertical analysis (Common Size)
  - BS: Express all items as a % of Total Assets / Liabilities
  - SPL: Express all items as a % of Total Income
- Horizontal analysis
  - % change year-on-year (yoy)
  - Example: If last year sales was Rs.100 and this year sales is Rs.120, sales has grown by 20%
- Ratio analysis

Mesa SCHOOL OF BUSINESS

VERTICAL & HORIZONTAL ANALYSIS

- Vertical analysis more useful than Horizontal
- Vertical analysis of SPL is more useful than of BS

Mesa
SCHOOL OF BUSINESS